# Synthetic Publication C: Cost Segregation Practice Notes

### Sec. 1. Purpose

These synthetic practice notes are a test fixture. They describe cost segregation in plain language and are not tax guidance.

### Sec. 2. What a study does

A cost segregation study separates the cost of a building into components that can be depreciated over shorter periods and components that remain part of the building.

### Sec. 3. Retail and service assets

Equipment and fixtures used by a business that sells goods to customers or provides personal services are generally depreciated over five years.

### Sec. 4. Site work

Paving, walkways, fencing and outdoor lighting placed on the land generally recover over fifteen years.

### Sec. 5. Personal property inside a building

Items that can be removed without damaging the building, such as tack-down carpet, are usually treated as personal property rather than as part of the structure.

### Table C-1. Building systems and typical treatment

| Building system | Example components | Typical treatment |
|---|---|---|
| Interior finishes | carpet, vinyl flooring | 5-year personal |
| Plumbing | bathtubs, toilets | building |
| HVAC | condensers, ductwork | building |
| Site improvements | paving, fencing | 15-year land improvement |
| Specialty electrical | dedicated equipment circuits | 5-year |

### Sec. 6. Office furnishings

Desks, filing cabinets and other furniture used in an office are generally depreciated over seven years.

### Sec. 7. Buildings

Apartment buildings are written off over twenty-seven and a half years, while offices and stores take thirty-nine years.

### Sec. 8. Documentation

Each classification in a study should cite the source document and the page that supports it, so a reviewer can check the claim.